

Effects of Strategic Exiting from Sponsorship after Negative Event Publicity

Matthias Messner
University of Ulm

Marc-André Reinhard
University of Mannheim

ABSTRACT

Research on the effects of event sponsorship has focused mainly on the consequences for brand equity of the association between a sponsor and a sponsored event. However, the effects of management's decision to exit from a sponsorship have received little empirical consideration. The studies reported here were carried out to fill this gap by systematically examining (a) the impact of a sponsor's corporate reputation on consumer responses to the strategic exit from a controversial sponsorship, and (b) the role that perceived trust in the decision plays in determining the outcomes. The results of two studies emphasize that strategic exiting from a controversial sponsorship (i.e., possible doping scandals at the event) can have positive consequences for the sponsor's image when the decision is trusted, but detrimental consequences when the exiting is attributed to overly self-serving reasons. Trust in sponsorship withdrawal is elicited when the sponsor is perceived as having a good character with respect to meeting societal obligations, or when communication efforts are made salient that create trust in the withdrawal decision by a firm with a bad character.
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In recent times, corporate sponsorship has become a prime element in the marketing mix, a fact reflected in a recent press release by the International Event Group (IEG) indicating that global expenditures on sponsorship rose to \$33.7 billion in 2006. The global sponsorship market thus grew nearly 40% between 2002 and 2006. The IEG further contended that if this trend keeps up, the sponsorship market will once again grow more rapidly in 2007 than the traditional advertising market (IEG, 2007). The popularity of corporate sponsorship of sports or cultural events lies in its potential to achieve corporate and marketing objectives (Cornwell & Maignan, 1998; Gardner & Shuman, 1987; Meenaghan, 1983, 1998). Sponsorship activity allows companies to increase brand awareness and brand image, channel the associations consumers should hold about their products and services, and surpass competing brands in profitability and consumer preference (e.g., Crimmins & Horn, 1996; Johar & Pham, 1999; Miyazaki & Morgan, 2001; Speed & Thompson, 2000; Stipp & Schiavone, 1996; Wakefield, Becker-Olsen, & Cornwell, 2007).

However, though sponsorship is generally believed to have very beneficial consequences that might not be the case in all circumstances. Not all sponsorship activi-

ties turn out well, either because of inadequate leveraging strategies (e.g., Crimmins & Horn, 1996; Farrally, Quester, & Burton, 1997; Meenaghan & Shipley, 1999), or because of wrong managerial decisions surrounding sponsorship selection, entry, or exit (e.g., Fahy, Farrelly, & Quester, 2004; Meenaghan, 1991, 2001). For example, research in the realm of corporate social behavior has shown that corporate support for charitable causes leads to positive outcomes for companies primarily if their main business corresponds to the sponsored cause (Menon & Kahn, 2003; Sen & Bhattacharya, 2001), and if consumers do not focus on excessively exploitative or insincere motives for the sponsorship (Dean, 2002, 2003; Rifon, Choi, Trimble, & Li, 2004; Yoon, Gürhan-Canli, & Schwarz, 2006). Though sponsorship of sports or cultural events in general might be less likely than corporate "philanthropy" to elicit concerns about the firm's sincerity because of its obvious commercial orientation (Cornwell, Weeks, & Roy, 2005; Meenaghan, 2001; Walliser, 2003), the present research is the first that empirically addresses whether the timing of a company's exit from a sponsorship can cause distrust in the motives behind it and lead to negative effects for the sponsoring company. The aim of the present research, therefore, is to show that exiting

from a sponsorship that suffers from negative publicity can represent a risk factor for the sponsor's corporate image. However, as this research will show, the outcome of strategic exiting is largely determined by the sponsor's overall reputation prior to the decision. First, however, current theories and research on sponsorship effects will be summarized. After that, the focal hypotheses of this research will be formulated on the basis of attribution theory.

THEORETICAL BACKGROUND

Sponsorship activity has the potential of becoming image enhancing or even profitable, a fact that is perhaps most evident in cases when the sponsored event is well known and of high prestige or value, thus boosting public interest and involvement. For example, the Olympics represent one of the most globally promoted and commercialized athletic competitions (Stotlar, 1993), and consumers generally believe that Olympic sponsors must be among the best companies in their industry (see Miyazaki & Morgan, 2001). This finding also corresponds to the view that positive sponsoring effects are the result of a transfer of associations or meaning from the event or activity to the sponsor (e.g., Gwinner, 1997; Keller, 1993). The brand image (or corporate image)—which is defined as the sum of associations consumers hold in memory about the brand (company)—thus becomes imbued with “secondary” associations, those that are originally linked to the event alone (Keller, 1993).

Effects of Congruency in Sponsorship

Sponsorship activities may also provide pitfalls for the success of marketing communications if the association between sponsor and sponsee is perceived as improper. To derive meaning from an association, it is believed that the sponsor must share some relevant attributes with the sponsored entity, involving either function-based similarities (e.g., the sponsor's products are used in an event) or image-based similarities (e.g., the sponsor's image and the event's image are congruent in a meaningful way) (Gwinner & Eaton, 1999; Poon & Prendergast, 2006). Based on categorization theory (e.g., Rosch, 1978; Smith & Medin, 1981), schema congruity theory posits that a positive or a negative evaluation of an event may be transferred to the sponsor when such a schematic fit between event and sponsor exists, whereas transference is inhibited when schematic fit between them is reduced (e.g., Gwinner & Eaton, 1999; McDaniel, 1999; Pham & Johar, 2001; Smith, 2004).

The rationale behind the congruency concept is that exemplars (e.g., single sponsors) are likely to be imbued with properties and affect attached to a category or schema (e.g., a sponsored event) if the exemplar is categorized as a typical member of the category, whereas untypical exemplars will be excluded from a category

(Fiske & Pavelchak, 1986; Rothbart & Lewis, 1988). Thus the transfer of event associations to the sponsor should be facilitated under fit, as should the transfer of core brand associations to a brand extension (e.g., Aaker & Keller, 1990; Boush & Loken, 1991; Voelckner & Sattler, 2006, 2007), of brand attitudes to the evaluation of brand alliances (e.g., Simonin & Ruth, 1998; Walchli, 2007; Washburn, Till, & Priluck, 2004), and of meaning from celebrity endorsers to the advertiser (e.g., McCracken, 1989; Till, Stanley, & Priluck, 2008). Low sponsor-event fit, on the other hand, prevents consumers from automatically transferring secondary associations from the event to the sponsor.

This reasoning implies that companies might suffer from sponsorships that become controversial or even negative in the course of the engagement, for example, as a result of corruption among the event organizer or drug abuse among athletes. This seems equivalent to negative “rub-off” effects found in research on brand extensions (e.g., Romeo, 1991; see also Pullig, Simmons, & Netemeyer, 2006), brand portfolios (Lei, Dawar, & Lemmink, 2008), and celebrity endorsement (e.g., Till & Shimp, 1998). The recent Tour de France in 2007 might provide a good example for such negative effects, because the event was overshadowed by negative publicity about cheating among professional riders of various teams, forcing broadcasters, organizers, and sponsors to take action. In other words, to derive maximum profit from sponsorship in terms of favorable, strong, and unique associations that have the potential to lead to sustainable competitive advantages (Keller, 1993), companies should choose sponsorships that best fit their main business and simultaneously offer little risk of becoming embroiled in a maelstrom of negative publicity. This conclusion is underscored by findings showing that incongruent sponsor-event dyads can lead consumers to think more thoroughly about a corporation's behavior and the reasons or motives behind it (Dean, 2002; Rifon et al., 2004). Incongruent and unexpected communication elements might prompt consumers to try and make sense of the perceived incongruity between sponsor and event, and they can make the communication less believable.

Effects of Perceived Sponsor Motives

According to attribution theory (e.g., Kelley, 1973), people are keen to determine whether a given behavior is the result of a disposition (i.e., internal factor) or a situational circumstance (i.e., external factor). When this reasoning is transferred to the arena of marketing and sponsorship, consumers generally attribute sponsorship engagements to one of two sets of motives: sincere, sponsee-serving motives, or egoistic, self-serving motives (Meenaghan, 2001; Webb & Mohr, 1998). Consumers might come to believe that a firm's sponsorship investments are driven—at least in part—by sincere intentions (i.e., dispositional attribution), whereas in other cases those investments are simply attributed

to a company's opportunistic attempt to generate revenue (i.e., situational attribution) without an interest in the event itself. This is consistent with the persuasion knowledge framework put forward by Friestad and Wright (1994), which suggests that consumers develop and use persuasion knowledge in order to cope with marketers' persuasion attempts. Based on this framework, some studies found that cause marketing campaigns can actually backfire when consumer become suspicious about the sincerity of an engagement (e.g. Yoon et al., 2006).

However, when it comes to commercial sponsorship, goodwill intentions are less likely to be seen as guiding a company's behavior because consumers are normally aware that businesses invest in most events or activities to generate revenue or elevate their image. On the other hand, because consumers do react sensitively to potential sponsor abuse, processes that make sense of corporate behavior might be highly relevant elements in the course of commercial sponsorship in addition to the selection process and the resulting alliance itself. For example, a company's timing of entry into the sponsorship, the level of commitment during the sponsorship, or the exit from a sponsorship can provoke attributional thoughts in consumers (Dean, 2003; Meenaghan, 2001). This being the case, the benefit generated by a sponsorship activity seems to be a function of the perceived exploitation of the sponsored entity (Meenaghan & Shipley, 1999; Walliser, 2003). Exiting from a sponsorship thus might be less of a problem when it is expected due to the expiration of the contract, whereas an unexpected withdrawal might cause consumers to devote cognitive effort to finding answers as to why the firm decided to do so. This is consistent with the fact that attributional thoughts are likely to be evoked when people are faced with negative or unexpected information (Skowronski & Carlston, 1989; Weiner, 1985). The consequence, however, might be that in the absence of clear evidence about the sincerity of the motives behind a company's cancellation of a sponsorship contract, consumers will rely on the company's overall reputation to arrive at a judgment about its behavior. Because companies with good reputations are held in high regard with respect to both their expertise and their credibility, elaborating on the company's motives might lead consumers to attribute good intentions, but to dismiss the same action by companies with a poor reputation as less worthy of trust (Goldberg & Hartwick, 1990; Lafferty & Goldsmith, 1999).

Strategic Exiting from a Sponsorship and the Influence of Corporate Reputation

Basically, the association with an event and the exploitation of the link are never without risk, since "risk is considered an intrinsic attribute of sponsorship due to the non-predictability of the outcome and/or diffusion of the event" (Walliser, 2003, p. 9). As outlined above, this suggests that sponsorship can even produce neg-

ative effects if the image of the event is in an adverse trend, depressing the sponsor's image due to negative rub-off effects. Sponsors that do closely fit to a negative event might thus be better off distancing themselves from the problematic sponsorship in order to avoid negative transfer effects. Indirect support for such possible negative spillover effects comes from research on product extensions (see Loken, Barsalou, & Joiner, 2008) and celebrity endorsement (see Erdogan, 1999). For example, celebrities that become embroiled in a scandal represent a risk factor for the overall marketing campaign. In such a case, the only consequence might be to cancel the contract, thereby avoiding negative publicity and harmful transfer effects on the advertised product or the corporate image itself.

However, as Meenaghan (2001, p. 108) argued, "exiting from a sponsorship must be carefully managed to minimize damage to the goodwill created and to preserve such goodwill whenever possible." It is therefore best if sponsorship withdrawal strategies result from a deliberate action that is well explained to the public rather than from a spontaneous reaction. Negative consequences might otherwise occur, because consumers might be inclined to look askance at overly exploitative companies that neglect their responsibility to the sponsee. In other cases, sponsors might simply fear negative image effects, for example, when some athletes are blamed for using drugs in the lead-up to an event, causing sponsors to think about the possibility of withdrawing from the sponsorship. Though the image of the event might be at stake, the effect might in fact not be completely negative. In that case the organizer and the sponsors are clearly in charge of making the right decisions for the event's proper conduct, a view that corresponds to the notion that sponsors must be concerned about such ethical issues (Quester & Thompson, 2001; Thwaites, Aguilar-Manjarrez & Kidd, 1998).

As discussed above, sometimes there may be a good reason for withdrawing from a controversial sponsorship, but the outcome of such a move for the sponsor might be determined by consumers' perception whether this strategic decision is the result simply of the sponsor's attempt to avert damage to his image, or the result—at least in part—of the wish to give a clear signal against unethical behavior in sports. While in the former case consumers will likely distrust the company's decision, holding exploitative and insincere motives responsible for the withdrawal (i.e., sponsor abuse), in the latter case withdrawal might be viewed as expressing a sincere interest in the sponsored entity (i.e., giving the right signal at the right moment). Trust in the decision thus might even lead to positive outcomes, whereas distrust should affect the company in a negative way. In sum, at the heart of this issue lies the consumer's perception whether the sponsor is acting in an overly exploitative manner toward the sponsored entity, which in turn should be determined by the sponsor's corporate reputation. Corporate reputation, however, is seen as comprising two types of corporate associations consumers can hold in mind. A company can be

evaluated on the basis of its profitability and production excellence (i.e., organizational effectiveness), and on the basis of its social performance (i.e., the character of the company; see Brown & Dacin, 1997). It is not only the degree of organizational effectiveness that can lead to good or bad reputations, the organization's willingness to meet societal obligations can do so, as well. These latter associations are highly relevant for consumers as well as employees when judging a company's credibility (e.g., Argenti & Druckenmiller, 2004). Companies that do not meet their societal obligations are mistrusted, whereas those that do will be held in high regard by others. The consequence thus might be that the outcome of a strategic exit from a sponsorship is affected by the company's perceived social reputation, and with it by its perceived credibility.

THE PRESENT RESEARCH

Building on the previous discussion, the main objective of the present research was to systematically examine the effects of strategic exiting from a commercial sponsorship (i.e., exiting from the Olympics) after negative publicity in the lead-up to the event (i.e., possible doping scandals at the event) is made salient. It was expected that strategic exiting—compared to maintaining the sponsorship—becomes image enhancing for a good company, while the same decision by a bad company becomes more of a handicap for its image. This is expected to be true because consumers should come to believe that withdrawal by a company with a bad character is the result of egoistic, self-serving motives (e.g., an attempt to simply avert damage to the image). In this case, the company's decision should be perceived as overly exploitative or abusive of the event, rendering the company less trustworthy. Mistrust in the exit, however, is expected to diminish the evaluation of the company. The same action by a company with a good character, on the other hand, is likely to be attributed to a sincere interest in the event's proper conduct. In addition to reasons of image maintenance that are taken for granted, consumers might come to believe that the sponsor sincerely opposes unethical sports behavior by withdrawing from the sponsorship (i.e., sponsor's signal against drug abuse). Trust in this decision should be the likely consequence, which in turn should have a positive effect on the evaluation of the company.

EXPERIMENT 1

In an initial attempt to show how strategic exiting from a sponsorship can affect company evaluations and people's beliefs about the reasons behind this decision, the present research focused on a fictitious sporting goods manufacturer (AVICO Sports), since knowledge of the company and prior experiences with it can affect evaluations. Using a fictitious company in this research made it possible to manipulate certain aspects of the spon-

sor, specifically his social reputation, and to examine the impact of these manipulations on the outcomes of strategic exiting. Although participants had to develop a company schema on-line during the study, this procedure gives researchers control over the experimentally relevant variables. The Olympics were used as the sponsored entity because of its high value and prestige, a fact that should easily allow positive sponsorship outcomes for schematically fitting companies that are clearly associated with it.¹ However, this should hold as long as people do not distrust the company's actions as overly abusive of the event, as might be the case when a sponsor with a poor reputation officially withdraws from the event after negative publicity in the period leading up to it (e.g., possible doping scandals at the event).

Subjects and Design

Subjects were 84 students (45 women, 39 men, $M_{\text{age}} = 23.99$, $SD = 7.15$) at a German university who received course credit for participating in the 15-minute experiment. The experiment followed a 2 (corporate reputation: low vs. high) $\times$ 4 (corporate sponsoring: advertising control condition vs. sponsorship control condition vs. sponsorship withdrawal vs. sponsorship adherence) factorial design. Participants were randomly assigned across conditions.

Procedure, Stimulus Materials, and Manipulations

Respondents were presented with a test booklet that included a cover story, stimulus materials, and measures relevant for testing the predictions. On the first page of the booklet respondents were told that the study's aim was to investigate people's opinions about corporate actions in general. Respondents then began the study by reading information about a fictitious Dutch company (AVICO Sports), which was presented in the form of a short Financial Times newspaper article. The article started with information about AVICO's quarterly figures, indicating an excellent financial performance with respect to total revenues and profits. The article then described AVICO's plans for strengthening its market position.

Depending on the condition, AVICO was portrayed as either planning to outsource production to Asia in order to generate cost savings in the long run (i.e., low corporate reputation condition), or to reinvest returns in local production facilities in order to benefit from good workmanship (i.e., high corporate reputation condition). While in the former condition

¹ The data collection for the presented experiments was completed right before the Olympics became embroiled in the highly politicized debate about the violation of human rights in Tibet by the Chinese regime, and the protests and demonstrations surrounding the Olympic torch relay around the globe in response to it.

AVICO was portrayed as indifferent to the consequences of production outsourcing for the local workforce, in the latter condition the company was described as having the interests of its employees at heart. The article concluded that the outsourcing of production allowed AVICO to generate further competitive advantages from less strict environmental regulations in the target country. In the high corporate reputation condition, in contrast, AVICO was portrayed as being an environmentally friendly company, attaching high value to pollution control that goes beyond regulations imposed by law. The social reputation of the company was therefore manipulated via differences in its loyalty towards employees and home location, as well as differences in its environmental friendliness, variables that are closely related to the corporate social responsibility (CSR) concept (i.e., Brown & Dacin, 1997; Luo & Bhattacharya, 2006). Pilot testing of this material showed that the high corporate reputation condition differed from the low corporate reputation condition in how strongly AVICO was perceived as complying with social obligations, whereas the conditions did not differ in attributed organizational excellence.² This manipulation was applied to ensure (1) an excellent financial performance in both corporate reputation conditions to avoid confounds of sponsor trust with a lack of organizational effectiveness, and (2) a general schematic fit of the company's main business (i.e., a sports manufacturer) with the sponsored event (i.e., the Olympics).

After reading the newspaper article, respondents were presented with one of two parallel versions of a print ad for a fictitious running shoe (called AVICO Response). In both versions, the brand logo (AVICO Sports) was placed next to a picture of the running shoe in the lower left half of the ad, located right below a picture of a runner in action. The right half of the ad showed a slogan (The new AVICO Response—a perfect running experience) accompanied by a short statement about the product's merits. Depending on condition, either the brand logo again (i.e., in the advertising control condition) or the official sponsor logo for the Olympic Games in Beijing 2008 was positioned

in the lower right-hand corner of the ad (i.e., in all other conditions). The print ad was included to introduce the sponsorship engagement of AVICO in a natural and unobtrusive manner.

Participants in the sponsorship withdrawal and adherence conditions were then asked to read some additional information about the Olympics in the form of a fictitious Spiegel article (a German weekly magazine comparable to TIME Magazine in the United States). Two versions of this article were created. Both versions talked about the prevalence of unethical sports behavior among professional athletes—specifically, drug abuse—and the prospects that the Olympic Games in Beijing might become embroiled in such scandals. Respondents were sensitized that there might be good reasons to distrust “clean” Games in Beijing, so that the International Olympic Committee (IOC) as well as (inter-) national anti-doping agencies (WADA and NADAs) were obliged to react with more rigorous doping tests before and during the event. The article concluded with a sponsor reaction to this problem. While in the sponsorship withdrawal condition respondents were told that the official sponsor AVICO decided to back out of the Olympics in response to the doping issue, in the sponsorship adherence condition the company was portrayed as trusting the event's organizer and not calling its sponsorship into question at that time. As a result, in both conditions negative prognoses about the proper conduct of the Olympic Games were given to respondents, with the only difference between the conditions being the consequences drawn by the sponsors. Pilot testing of this manipulation indicated that drug abuse among participants in the Olympics became more of a problem in the minds of respondents when it was made salient to them via the newspaper article than when respondents read a control article talking about the progress on the construction of Olympic sports facilities. However, this manipulation did not lead to a devaluation of the Olympics as a whole.³ Respondents in the two control conditions read the control article to allow for similar tasks across conditions. After reading one of the article versions, respondents went on to the dependent variables before being thoroughly debriefed and thanked for their participation.

² Thirty participants (15 female and 15 male participants) evaluated how socially responsible and organizationally effective they would perceive the company to be (the items are discussed in the method section of Experiment 1). When summed to an index ($\alpha = 0.92$) an ANOVA revealed a main effect of corporate reputation ($M_{\text{low}} = 1.87$ vs. $M_{\text{high}} = 7.00$; $F(1, 28) = 91.12$, $p < 0.005$, $d = -3.49$). However, no differences were found with respect to AVICO's financial performance ($M_s = 7.43$ vs. 7.40 ; $F < 1$). Irrespective of its corporate reputation, the company was perceived as being economically excellent. In addition, the social performance manipulation also affected global attitudes toward the company, its products, and its trustworthiness in much the same way. When the company was perceived as exemplary in social performance, the overall quality of the company ($M = 6.69$), the quality of its products ($M = 5.71$), and its perceived trustworthiness ($M = 6.27$) were rated higher than when the company was perceived as deficient in this regard ($M_s = 2.87, 3.55, 3.98$, respectively; $F_s(1, 28) > 15.76$, $p_s < 0.001$, $d_s > 1.45$). Respondent's sex was not reliably associated with the dependent variables.

³ Eighteen participants read one of two versions of the Spiegel newspaper article (salience of drug abuse condition vs. control article) and then indicated on two items (i.e., *The probability of drug abuse among athletes at the upcoming Olympics is higher than at past events*; *Doping scandals at the upcoming Olympics will not be an exception*; $r = 0.48$, $p < 0.05$) the likelihood that doping scandals would overshadow the upcoming Olympics. Subjecting this evaluation to an ANOVA revealed that doping scandals were perceived as more likely to be part of the Olympics when drug abuse among athletes was made salient to respondents than when they read a control article talking about Olympic sports facilities ($M_s = 5.33$ vs. 3.83), $F(1, 16) = 9.26$, $p < 0.01$, $d = 1.45$. However, independent of condition, the Olympics were rated as a highly favorable event ($F < 1$), apparent in an overall mean of 6.94. The latter evaluation was made on scales as discussed in the method section of Experiment 1.

Measures

Main Dependent Variables. Participants responded to all items on 9-point semantic differential scales. Participants' global attitudes towards the company were measured by averaging five items anchored with the following words (four of them stem from Forehand & Grier, 2003): It seems to me that the company ... is very bad/good, unhelpful/helpful, unlikable/likable, pleasant/unpleasant, and doesn't care about customers/cares very much about customers ($\alpha = 0.85$). How trustworthy participants perceived the corporate actions from AVICO to be was measured via five items taken from Ohanian (1990): The company's behavior is very ... undependable/dependable, dishonest/honest, unreliable/reliable, insincere/sincere, and untrustworthy/trustworthy ($\alpha = 0.90$).

Control Variables. Three further items assessed participant's evaluation of the quality of the advertisement ($\alpha = 0.91$; In my opinion, the advertisement is ... bad/good, negative/positive, and dislikable/likable). In order to tap into differences in the motives respondents held responsible for the sponsorship entry by AVICO, several items were included (note that respondents in the advertising control condition did not answer these questions). Four items were included to measure altruistic motives for the sponsorship: The company supports the Olympics because it ... feels morally obliged to help, wants to make it easier for consumers who care about support for the event, is trying to give something back to the community, and is feeling obliged to the community ($\alpha = 0.89$). Another four items measured respondents' attribution of AVICO's sponsorship activities to strategic and image-enhancing motives: The company supports the Olympics because ... it wants to get more customers, it hopes to increase profits, it is driven by pure self-interest, it mainly wants to help itself, it wants to enhance its image, and it wants to achieve a better reputation among the public ($\alpha = 0.78$). These items were in part adapted from Ellen, Webb, and Mohr (2006). Additionally, common-factor analysis with varimax rotation confirmed a two-factor solution, accounting for 68.4% of the variance. Given the commercial orientation of Olympic sponsorship, it was expected that respondents would perceive the mere sponsorship engagement of AVICO as guided mainly by strategic and image-enhancing motives rather than altruistic ones.

Manipulation Checks. Participants were then asked to indicate their attitude toward the Olympics with respect to its overall value as well as the social importance attached to the event. Four items served for the former evaluation ($\alpha = 0.93$; The Olympics represent a ... bad/good, negative/positive, unpleasant/pleasant, and dislikable/likable ... event.) and three items for the latter evaluation ($\alpha = 0.84$; The Olympics represent a ... socially unimportant/important, socially ir-

responsible/responsible, unethical/ethical ... event.). In order to analyze the effectiveness of the further manipulations, participants indicated their perceptions of AVICO's corporate performance with respect to its corporate social responsibility (i.e., The company enjoys a good reputation (a) with its employees, (b) with the Dutch public; The company is renowned for its good social character; $\alpha = 0.93$) and its organizational effectiveness (i.e., The company enjoys a good reputation with financial investors; The company is renowned for its excellent financial reputation; $r = 0.38$, $p < 0.001$). Three of these items were adapted from Goldberg and Hartwick (1990). Because AVICO Sports was introduced as a sports manufacturing company to ensure schematic fit between the company's main business and the sponsored event, it was checked whether participants indeed perceived such a fit. To that end, participants indicated on two items ($r = 0.87$, $p < 0.001$) how strongly they felt that the event and sponsor fit ($r = 0.87$, $p < 0.001$; The company is an appropriate sponsor for the Olympics; The company seems to be a convenient sponsor for the Olympics.).

Confound Check. Two final items were included to allow for an analysis of differences in the perceived credibility of the provided information. Respondents indicated how questionable/unquestionable and noncredible/credible they perceived the information provided in the study to be ($r = 0.88$, $p < 0.001$).

Hypotheses

Significant two-way interactions were expected to occur for sponsor evaluations and perceived sponsor's trust. In detail: Sponsorship of the Olympics (i.e., sponsorship control condition) were expected to be associated with an increase in global attitudes toward the company relative to nonsponsorship of the Olympics (i.e., advertising control condition), and to be independent of the firm's corporate reputation. This prediction was based on the idea that commercial sponsorship should result in positive effects as long as the company fits schematically with the Olympics and is not perceived as overly abusive of the event (e.g., Dean, 2002, 2003). However, when it comes to sponsorship withdrawal after negative publicity in the run-up to the event, corporate reputation was expected to matter. While in the case of a high corporate reputation sponsorship withdrawal might be associated with increased trust in this decision relative to adherence to the sponsorship, sponsorship withdrawal might result in decreased trust in the case of a low corporate reputation. Global attitudes towards the company were expected to mirror the effects on sponsor trust. Perceptions of trust, in turn, were believed to function as the mediator for company evaluations.

- H1a:** Sponsorship of the Olympics is associated with an increase in company evaluations

relative to a control condition where no sponsorship information is given (advertising control condition).

- H1b:** This positive sponsorship effect should hold irrespective of the sponsor's reputation.
- H2:** Sponsorship withdrawal compared to sponsorship adherence after negative publicity in the run-up to the Olympics should advance company evaluations when the sponsor has a good reputation, but should lower them when the sponsor has a bad reputation.
- H3:** Sponsor trust is expected to mirror the effects on company evaluations and, in turn, should function as a mediator of these effects.

The main dependent variables were the global attitudes toward the sponsoring company as well as the trust respondents attributed to the corporate actions. Some control variables (i.e., evaluation of the advertisement and motives for the sponsorship entry) were included in the research (1) to rule out that the quality of the used sponsorship-linked advertising campaign affected perceptions of the company's image, and (2) to show that sponsorship of the Olympics is viewed as a commercial investment by respondents.

Results

Unless otherwise noted, the data were analyzed using 2 (corporate reputation: low vs. high) $\times$ 4 (corporate sponsoring: advertising control condition vs. sponsorship control condition vs. sponsorship withdrawal vs. sponsorship adherence) univariate analyses of variance (ANOVAs).

Confound Check. An ANOVA conducted on the items assessing the perceived believability of the information showed no differences between conditions ($F_s < 1$). Overall, respondents evaluated the information provided via the stimulus materials as quite believable across conditions ($M = 5.89$).

Manipulations. Social Performance. The analysis of the company's social performance revealed a significant main effect of corporate reputation, $F(1, 76) = 306.87$, $p < 0.001$, $d = 3.84$.⁴ AVICO was perceived as being more concerned about societal issues in the high reputation condition compared to the low reputation condi-

tion ($M_s = 7.32$ vs. 2.95). No other effect was significant ($ps > 0.14$).

Organizational Effectiveness. As expected, the analysis revealed that high and low corporate reputation condition did not differ in attributed organizational effectiveness, $F(1, 76) < 1$. Across conditions, participants perceived AVICO as being a highly effective and profitable company, as reflected in an overall mean of 7.32. There was no other significant effect ($F_s < 1$).

Perceived Event-Sponsor Congruence. Overall, AVICO was perceived as having a better fit with the Olympics in the high relative to the low corporate reputation condition ($M_s = 6.54$ vs. 4.71 ; $F(1, 76) = 24.19$, $p < 0.001$, $d = 1.02$). Differences in perceived fit were actually most pronounced in the advertising control condition (corporate reputation: $M_{\text{high}} = 6.35$ vs. $M_{\text{low}} = 2.96$; $p < 0.001$). Tukey's post hoc comparisons between low reputation/advertising control condition and the remaining six conditions also showed significant differences ($ps < 0.08$). However, there were essentially no significant differences between sponsorship control condition ($M_{\text{high}} = 6.82$ vs. $M_{\text{low}} = 5.80$), sponsorship withdrawal ($M_{\text{high}} = 6.60$ vs. $M_{\text{low}} = 5.05$), and sponsorship adherence ($M_{\text{high}} = 6.35$ vs. $M_{\text{low}} = 5.14$; $ps > 0.21$), though the means suggested a better fit of the good firm over the bad firm. However, not surprisingly the main effect of corporate sponsoring was also significant ($F(3, 76) = 3.67$, $p < 0.05$), indicating that participants in the advertising control condition evaluated AVICO as significantly less fitting with the Olympics ($M = 4.65$) than participants in the sponsoring control condition ($M = 6.14$; $p < 0.01$). It seems that the mere association with the event via the vehicle of a sponsorship-linked marketing campaign enhanced perceptions of fit. Sponsorship withdrawal ($M = 5.79$) and sponsorship adherence ($M = 5.71$) showed trivial differences, as was the case for comparisons with the advertising and sponsorship control conditions ($ps > 0.09$). The Corporate reputation $\times$ Corporate sponsoring interaction was not significant ($p > 0.10$).

Event Evaluations. As expected, the evaluation of the Olympics as well as the social importance attached to it were unaffected by the manipulations ($F_s < 1$ in both analyses), indicating that neither the presence of a highly vs. poorly respected sponsor association, nor the presence vs. absence of a negative press release in the run-up to the event changed the overall value of the Olympics. In sum, the Olympics were held in high regard by participants with respect to its overall prestige ($M = 7.08$) and social importance ($M = 5.98$).

Control Variables. Ad Attitudes. The advertisement was evaluated more positively when coming from a company with a high reputation compared to one with a low reputation ($M_s = 6.02$ vs. 5.02), $F(1, 76) = 7.85$, $p < 0.01$. Furthermore, a marginal effect of corporate sponsorship was also found ($F(3, 76) = 34.89$, $p = 0.062$). Post hoc comparisons revealed that lower ratings tended to occur for the advertising control condition ($M = 4.73$)

⁴ Cohen's d is reported for estimations of effect sizes of predicted effects. An effect size of 0.2 is indicative of a small effect, 0.5 a medium and 0.8 of a large effect (Cohen, 1988).

relative to the other conditions involving sponsorship information ($M_s = 5.97$ vs. 5.53 vs. 5.51). The interaction was not significant ($p > 0.30$).

Inferred Motives for the Sponsorship Engagement. First, an ANOVA on inferred strategic motives revealed no significant effects ($p_s > 0.37$). Obviously, participants across all conditions took for granted that a company had strategic motives for entering into a sponsorship, a fact apparent in an overall mean of 7.99 . Second, AVICO's engagement was perceived as more strongly reflecting altruistic reasons in the high compared to the low corporate reputation condition ($M_s = 3.12$ vs. 2.40); $F(1, 57) = 3.72$, $p = 0.059$. No other effect was reliable ($F_s < 1$). Thus, across conditions altruistic reasons played less of a role for the evaluation of AVICO's sponsorship activity, a fact apparent in an overall mean of 2.75 at ground level. In sum, respondents' attributions clearly indicate that commercial sponsorship is associated with strategic, image-enhancing motives, whereas altruistic reasons may only play a minor role. This corresponds to the notion that 70%–85% of Europeans believe that sponsorship is intended to generate profits (Marshall & Cook, 1992).

Main Dependent Variables. Company Evaluations. Overall, participants evaluated AVICO more positively in the high than in the low corporate reputation condition ($M_s = 6.37$ vs. 4.42 ; $F(1, 76) = 64.52$, $p < 0.001$, $d = 1.64$). Beyond this effect, as anticipated, the interaction of corporate reputation $\times$ corporate sponsorship was significant ($F(3, 76) = 4.80$, $p < 0.01$). The latter effect in detail: As planned contrast analyses revealed, Olympic sponsorship advanced company evaluations relative to the advertising control condition independent of its corporate reputation ($M_s = 5.62$ vs. 4.90 ; $t(80) = 1.80$, $p < 0.05$, $d = 0.55$).⁵ More specifically, as can be seen in the first section of Table 1, sponsorship of the Olympics was associated with an increase in sponsor evaluations relative to the advertising control condition for the high corporate reputation condition ($M_s = 6.20$ vs. 5.52 ; $t(37) = 1.60$, $p = 0.068$, $d = 0.67$), as well as with a less reliable increase for the low corporate reputation condition ($M_s = 4.98$ vs. 4.33 ; $t(39) = 1.24$, $p = 0.14$, $d = 0.49$). These results lend support to *H1a* and *H1b*.

Furthermore, and most important, as anticipated the effect of sponsorship withdrawal from the Olympics was indeed affected by the perceived corporate reputation of the sponsor. While a sponsor of good reputation benefited from sponsorship withdrawal compared to sponsorship adherence ($M_s = 7.20$ vs. 6.65 ; $t(37) = 1.51$, $p = 0.068$, $d = 0.59$), the reverse was true for a sponsor with a bad reputation ($M_s = 3.76$ vs. 4.67 ; $t(39) = 2.31$, $p < 0.05$, $d = -0.84$). As indicated in Figure 1(a), further trend analyses revealed that the overall pattern for the good reputation sponsor showed a linear trend ($F(1, 37) = 8.74$, $p < 0.01$) and a quadratic

Table 1. Mean Company Evaluations, and Sponsor Trust as a Function of Corporate Reputation and Corporate Sponsorship ($N = 84$).

	Corporate Sponsoring	
	Withdrawal	Advertising (Control) Adherence Sponsorship (Control)
Company evaluations		
High corporate reputation	5.52 (0.89)	6.20 (1.11)
7.20 (0.65)	6.54 (1.14)	
Low corporate reputation	4.33 (0.95)	4.98 (1.63)
3.76 (0.83)	4.67 (1.30)	
Sponsor trust		
High corporate reputation	5.88 (1.77)	5.87 (1.08)
7.02 (1.11)	6.08 (1.13)	
Low corporate reputation	4.24 (1.31)	4.92 (1.13)
3.67 (1.41)	5.11 (1.59)	

Note: Participants per cell varied between 10 and 11. Standard deviations in parentheses.

trend ($F(1, 37) = 4.66$, $p < 0.05$), whereas a cubic trend occurred when the bad reputation sponsor was considered, $F(1, 39) = 5.76$, $p < 0.05$.⁶

In essence, sponsorship withdrawal advanced sponsor evaluations relative to all other conditions combined when the sponsor was of high perceived reputation, $M_s = 7.20$ vs. 6.09 ; $t(39) = 3.88$, $p < 0.001$, $d = 1.23$. In the case of low perceived reputation, however, sponsorship withdrawal reduced sponsor evaluations compared to all other conditions combined, $M_s = 3.76$ vs. 4.65 ; $t(41) = -2.61$, $p < 0.05$, $d = -0.82$.

Sponsor Trust. Perceived trust in AVICO is summarized in the second section of Table 1. The analysis revealed a main effect of corporate reputation, $F(1, 76) = 34.89$, $p < 0.001$, $d = 1.25$. AVICO was viewed as acting in a more trustworthy manner in the high compared to the low corporate reputation condition ($M_s = 6.21$ vs. 4.47). As was the case for company evaluations, the Corporate reputation $\times$ Corporate sponsoring interaction was significant, $F(3, 76) = 3.70$, $p < 0.05$. However, trend analyses revealed (see Figure 1b) a tentative cubic trend on sponsor trustworthiness for the good reputation condition ($F(1, 37) = 3.25$, $p = 0.079$), but no quadratic trend ($p > 0.28$). This was the case because sponsorship adherence ($M = 6.08$) did not differ from either control condition (advertising control condition: $M = 5.88$; $t(37) < 1$; sponsorship control condition: $M = 5.87$; $t(37) < 1$). Furthermore, sponsorship withdrawal led to a significant and nontrivial increase in perceived trustworthiness of a highly respected company ($M = 7.02$) relative to sponsorship adherence, $t(37) = 1.62$, $p = 0.057$, $d = 0.77$. On the other hand, a trend analysis on the bad reputation company found a cubic trend on sponsor trustworthiness ($F(1, 37) = 6.19$, $p < 0.05$). While sponsorship withdrawal was associated with a decrease in perceived trust in the company compared

⁵ All reported contrast analyses are based on one-tailed tests of significance because of directional hypotheses.

⁶ Because of unequal cell sizes, all trend analyses are reported with weighted effects.

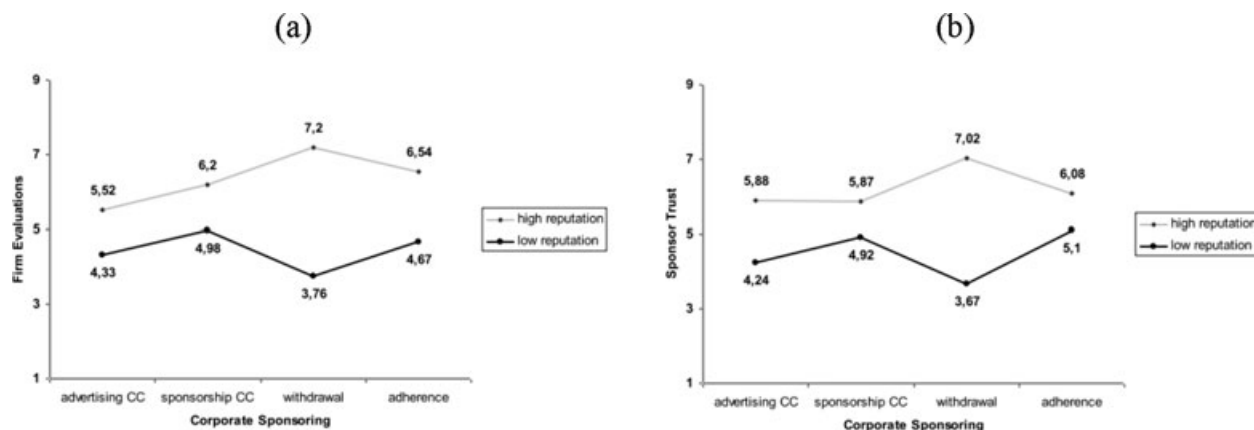


Figure 1. Company evaluations (a), and sponsor trust (b) as a function of corporate reputation and corporate sponsoring ($N = 84$).

to sponsorship adherence ($M_s = 3.68$ vs. 5.11 ; $t(39) = 2.51$, $p < 0.05$, $d = -0.97$), the two control groups did not differ significantly in attributed trust from sponsorship adherence ($p_s < 0.14$).

Similar to the effects found on company evaluations, sponsorship withdrawal advanced trust in AVICO's corporate actions relative to all other conditions combined when AVICO was of high perceived reputation, $M_s = 7.02$ vs. 5.94 ; $t(39) = 2.34$, $p < 0.05$, $d = 0.89$, but decreased perceived trust when AVICO was of low perceived reputation ($M_s = 3.67$ vs. 4.75 ; $t(41) = -2.23$, $p < 0.05$, $d = -0.77$). In addition, correlational analyses indicated that sponsor trust was strongly associated with company evaluations ($r = 0.75$, $p < 0.001$).

Mediational Analyses. Regression analyses proposed by Baron and Kenny (1986) were conducted to analyze whether the effects found on firm evaluations are mediated by the trust participants attributed to AVICO's corporate actions. In step one, the Corporate reputation $\times$ Corporate sponsoring interaction predicted company evaluations ($\beta = 0.42$, $p < 0.05$). In step two, sponsor trust also predicted company evaluations ($\beta = 0.75$, $p < 0.001$), and in step three, the effect of the two-way interaction on company evaluations vanished to nonsignificance when sponsor trust was entered into the analysis ($\beta = 0.05$, $p > 0.77$). A further Sobel's test (Sobel, 1982) indicated that sponsor trust carried the influence of the two-way interaction on company evaluations ($z = 2.75$, $p < 0.001$). In addition, a reverse mediation was not found. These results provide support for the supposed mediating role of sponsor trust in response to sponsorship withdrawal after a negative press release in the run-up to the Olympics ($H3$).

DISCUSSION

The observed findings provide clear support for the two main objectives of Experiment 1. In particular, sponsorship of the Olympics had a positive impact on com-

pany evaluations (relative to the advertising control condition), irrespective of whether respondents held the sponsor in high or low regard with respect to his willingness to comply with societal obligations ($H1a$ and $H1b$). This corresponds to the view that commercial sponsorship is unlikely to evoke distrust in consumers because there may be no reason to perceive this corporate action as overly abusive of the event. Consumers are normally aware that holding an event properly hinges on sponsor money, and that companies engage in sponsorship activities mainly to add value to their image (e.g., Cornwell, Roy, & Steinard, 2001; Meenaghan, 2001; Meenaghan & Shipley, 1999). This is reflected in the data showing that the motives, which are taken into account for Olympic sponsorship, are predominantly self-serving in nature and not altruistic. However, the consequence is that positive image transfer effects from a highly valued event to a functionally congruent sponsor (i.e., the sport goods manufacturer AVICO) occur quite independent of the sponsor's corporate social reputation.

Beyond these effects, the most intriguing finding of this experiment can be seen clearly in cases when the prospects that an event will come off positively are negative and a sponsor decides what to do about that. Strategic exiting from a major event was found to have differential consequences for sponsors with a good vs. a bad character. A company with a good character was evaluated more favorably after sponsorship withdrawal compared to sponsorship adherence, whereas the reverse effect was found for a company lacking a good character ($H2$). This means that a good company actually reaps the benefits of dissociating itself from an event that is becoming problematic, a fact apparent in that such a company was most positively evaluated in this condition compared to all others. In contrast, a bad company was penalized for the same action and was actually better off adhering to the sponsorship in order to avoid serious setbacks in company evaluations. Company evaluations in fact fell below the advertising control condition, suggesting that sponsorship

withdrawal by a bad company was even worse than if the company had never been associated with the Olympics. The reasons behind these findings, however, can be explained by respondents' tendency to perceive strategic exiting from the Olympics as more or less trustworthy. While the good company's withdrawal was associated with increased trust, a decrease in attributed trust occurred for the bad company. This reasoning is underscored by the fact that these differential attributions of trust mediated the effects on company evaluations (*H3*).

However, a second study was conducted to more closely capture the idea that attributed trust in the company's actions is responsible for the findings of strategic exiting on company evaluations. To that end, in Experiment 2 a condition was included in which the company's reasons for exiting were directly manipulated. It was expected that the firm with a low reputation should also benefit from a withdrawal after negative publicity in the run-up to the event when respondents did not perceive the exit as merely the result of the company's attempt to avert damage to its image without accepting full responsibility for the event. Again, at the heart of the effects of strategic exiting from sponsorship might be the respondent's belief as to whether the sponsor's reaction can be trusted.

EXPERIMENT 2

The main objective of Experiment 2 was thus to more directly examine the determining role of sponsor trust in the effects of sponsorship withdrawal. To that end, both control conditions included in the first experiment were dropped. Experiment 2 focused exclusively on the effects of sponsorship withdrawal from the Olympics compared to adherence in response to negative publicity in the run-up to the event. To test whether perceived trust in the company's reaction is responsible for the effects found on company evaluations, a condition that underscored trust in the sponsor's withdrawal was integrated. Sponsorship withdrawal was expected to become a liability for a company with a bad character as long as respondents did not have good reason to believe in the honesty of this action. This reasoning led to the following hypotheses.

- H4a:** Sponsorship withdrawal compared to sponsorship adherence should advance company evaluations when the sponsor is of good reputation, irrespective of the firm's communication efforts to induce trust in this decision.
- H4b:** Sponsorship withdrawal compared to sponsorship adherence should decrease company evaluations when the sponsor is of bad reputation unless the firm undertakes communication efforts to induce trust in this decision.

- H5:** Sponsor trust is expected to function as a mediator of the effects on company evaluations, as was the case in Experiment 1.

Subjects and Design

Subjects were 86 students (42 women, 44 men, $M_{\text{age}} = 23.33$, $SD = 6.81$) at a German university who received course credit for their participation. The experiment followed a 2 (corporate reputation: low vs. high) $\times$ 3 (corporate sponsoring: sponsorship adherence vs. sponsorship withdrawal vs. trust in withdrawal) factorial design. Participants were randomly assigned across conditions.

Procedure, Stimulus Materials, and Manipulations

The procedure of Experiment 2 was quite similar to that of Experiment 1. Respondents were presented with a test booklet that included all relevant materials. As in Experiment 1, the booklet contained two newspaper articles that were used to manipulate the sponsor's perceived reputation (high vs. low), as well as an article sensitizing respondents to possible doping scandals at the upcoming Olympics. As in Experiment 1, the latter article concluded with a fictitious sponsor's reaction to the negative publicity (again called AVICO Sports). The sponsor either decided to withdraw from the sponsorship or to adhere to it. In a third version of this article, however, it was reported that AVICO decided to withdraw from the Olympics without abdicating its responsibility for the event (trust in withdrawal condition). Respondents were told that the company felt committed to fight against drug abuse among professional athletes and would therefore raise money in order to help upcoming events become "clean." The booklet again contained a print ad for a fictitious running shoe (called AVICO XTR) that came right after the first newspaper article. The ad was quite similar to the one used in Experiment 1. A picture of two athletes was placed in the left half of the ad. The upper right half of the ad showed a picture of the new running shoe, with the slogan ("The new AVICO XTR") accompanied by a short statement about the product's merits placed right below. The brand logo (AVICO Sports) was placed next to the official sponsor logo for the Olympic Games in Beijing 2008, positioned in the lower right corner of the ad. After the treatment, respondents proceeded to the dependent variables. They were then thoroughly debriefed and thanked for their participation.

Measures

Main Dependent Variables. Participants responded to all items on 9-point semantic differential scales. Global attitudes towards the company were measured via the items already used in Experiment 1 ($\alpha = 0.91$).

How trustworthy participants perceived the corporate actions from AVICO to be was inferred from the same five items as in Experiment 1 ($\alpha = 0.93$).

Control Variables. Participants were then asked to indicate their global attitudes toward the Olympics ($\alpha = 0.93$), and the advertisement ($\alpha = 0.91$). These evaluations had to be made on the same items as already discussed in Experiment 1.

Manipulation Checks. As in Experiment 1, the effectiveness of the manipulations were checked via three items measuring the company's social performance ($\alpha = 0.95$), two items measuring its organizational effectiveness ($r = 0.55$, $p < 0.001$), and two items measuring schematic fit between the company's main business and the sponsored event ($r = 0.79$, $p < 0.001$).

RESULTS AND DISCUSSION

Manipulations

Discrete ANOVAs revealed that, as expected, AVICO was perceived as more socially responsible in the high than in the low corporate reputation condition ($M_s = 7.55$ vs. 3.32 ; $F(1, 80) = 378.79$, $p < 0.001$, $d = 4.09$). No other effect was significant ($ps > 0.12$). Furthermore, the company's perceived organizational effectiveness was unaffected by the manipulations ($ps > 0.25$). Overall, AVICO was evaluated as economically highly effective, which is reflected in an overall mean of 7.07. Additionally, respondents evaluated AVICO as having a better fit with the Olympics in the high compared to the low corporate reputation condition ($M_s = 6.48$ vs. 5.60 ; $F(1, 80) = 5.10$, $p < 0.05$). No other effect approached significance ($ps > 0.18$). Because the latter effect replicates findings of Experiment 1, it seems necessary to state that the absolute strength of the sponsor-event fit hinges not only on the functional congruence between sponsor and event (i.e., a sports manufacturer sponsors the Olympics), but also on the image the sponsor is able to communicate (see also Gwinner & Eaton, 1999; Poon & Prendergast, 2006).

Control Variables

Ad evaluations ($ps > 0.18$), and event evaluations ($F_s < 1$) were again unaffected by the manipulations. The ad was evaluated quite favorably overall ($M = 5.87$), as were the Olympic Games ($M = 7.15$).

Main Dependent Variables

Firm Evaluations and Trust Ratings. Company evaluations are summarized in the first section of Table 2. An interaction of corporate reputation and corporate sponsorship was expected such that sponsorship

Table 2. Mean Company Evaluations, and Sponsor Trust as a Function of Corporate Reputation and Corporate Sponsoring ($N = 86$).

Corporate Sponsoring		Trust in
Adherence	Withdrawal	Withdrawal
Company evaluations		
High corporate reputation 7.19 (0.93)	7.34 (0.97)	6.21 (1.38)
Low corporate reputation 3.48 (1.18)	4.97 (1.06)	4.18 (1.15)
Sponsor trust		
High corporate reputation 6.76 (1.29)	6.90 (1.14)	6.04 (1.29)
Low corporate reputation 3.33 (1.54)	4.85 (1.48)	4.17 (1.09)

Note: Participants per cell varied between 12 and 16. Standard deviations in parentheses.

withdrawal would increase company evaluations compared to sponsorship adherence for a company with a good character, but would decrease them for a bad company. This would replicate findings made in Experiment 1. However, when trust in the decision to withdraw is induced, company evaluations were expected to increase for the bad company, whereas evaluations might remain relatively unchanged for the good company. As predicted, the interaction was significant, $F(2, 80) = 4.38$, $p < 0.05$. Sponsorship withdrawal from the Olympics led to significantly lower attitudes toward AVICO than adherence to it when the company was portrayed as having a bad character ($M_s = 4.18$ vs. 3.48 ; $t(80) = 1.60$, $p = 0.057$, $d = 0.60$). Conversely, as expected, experimentally inducing trust in the decision to withdraw led to a significant increase compared to the latter condition ($M = 4.97$; $t(80) = 1.94$, $p < 0.05$, $d = 0.71$). This is also reflected in a significant linear trend ($F(1, 39) = 4.11$, $p < 0.01$) and a quadratic trend ($F(1, 39) = 8.15$, $p < 0.01$) found in a subsequent trend analysis (see Figure 2a). The data thus demonstrate some nonlinear variation for the low corporate reputation condition. However, when the high corporate reputation condition is considered, the data indicate a linear trend only ($F(1, 41) = 7.25$, $p < 0.01$). Sponsorship withdrawal led respondents to evaluate the good company more positively than sponsorship adherence ($M_s = 7.19$ vs. 6.21 ; $t(80) = 2.39$, $p < 0.05$, $d = 0.83$), whereas inducing trust in the withdrawal decision did not further increase company evaluations ($M = 7.34$; $t < 1$). These results provide support for *H4a* and *H4b*. Additionally, significant main effects were found for corporate reputation ($M_{\text{high}} = 6.93$ vs. $M_{\text{low}} = 4.28$), $F(1, 80) = 125.63$, $p < 0.001$, $d = 2.16$), and corporate sponsorship ($M_{\text{adherence}} = 5.20$ vs. $M_{\text{withdrawal}} = 5.60$ vs. $M_{\text{trust in withdrawal}} = 6.08$, $F(2, 80) = 6.30$, $p < 0.01$). Considering the latter effect, subsequently conducted post hoc tests revealed that the only significant difference occurred for sponsorship adherence compared to trust in withdrawal ($p < 0.05$).

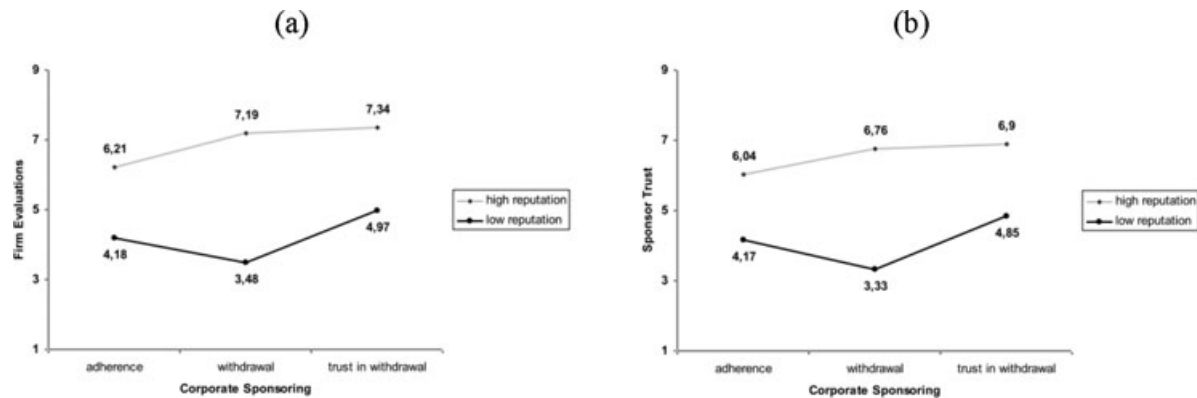


Figure 2. Company evaluations (a), and sponsor trust (b) as a function of corporate reputation and corporate sponsoring ($N = 86$).

Consistent with the predictions, it was found that a sponsor with a bad character was ill advised to exit from a controversial sponsorship unless communication efforts made respondents believe in the honesty behind the decision (i.e., when the sponsor took responsibility for the event). A sponsor with a good character, however, was better off distancing himself from the event without facing a loss of prestige. The data suggest that respondents, in principle, believed in the honesty behind sponsorship withdrawal by the good company, since communication efforts justifying the decision did not have further beneficial effects. This interpretation is underscored by the effects found on the trust respondents attributed to the behavior of the sponsor (see the second section of Table 2). When trust ratings were subjected to an ANOVA, the corporate reputation $\times$ corporate sponsoring interaction approached significance, $F(2, 80) = 2.94, p = 0.059$. Considering the high corporate reputation condition, planned contrast analyses revealed that the company was trusted more when it decided to withdraw from the Olympics than when it did not ($M_s = 6.76$ vs. 6.04 ; $t(80) = 1.50, p = 0.064, d = 0.56$), whereas no difference was found in attributed trust between withdrawal and trust in withdrawal conditions ($t < 1$). In contrast, in the low corporate reputation condition, more trust was attributed to the company when it decided to adhere to the sponsorship than when it decided to withdraw from it ($M_s = 4.17$ vs. 3.33 ; $t(80) = 1.62, p = 0.054, d = 0.63$), whereas induced trust in sponsorship withdrawal—as a trend—led respondents to attribute more trust to the company ($M = 4.85$) than sponsorship adherence ($t(80) = 1.41, p = 0.08, d = 0.52$). These findings are reflected in the results revealed by further trend analyses (see Figure 2b). In these analyses, a marginally significant linear trend was found for the high corporate reputation condition ($F(1, 41) = 3.33, p = 0.075$), whereas a significant quadratic trend was revealed for the low corporate reputation condition ($F(1, 39) = 6.23, p < 0.05$). Both trends, however, mirrored those found on company evaluations. Finally, the main effects for corporate reputation ($M_{\text{high}} = 6.58$ vs. $M_{\text{low}} = 4.19, F(1, 80) = 74.29, p < 0.001$), and corpo-

rate sponsorship ($M_{\text{adherence}} = 5.11$ vs. $M_{\text{withdrawal}} = 5.29$ vs. $M_{\text{trust in withdrawal}} = 6.81$), $F(2, 80) = 3.60, p < 0.05$) were also significant. Post hoc tests revealed that none of conditions actually differed significantly from each other ($p_s > 0.11$).

Mediational Analyses

As in Experiment 1, stepwise regression analyses were used to analyze whether perceived trust in the corporate decision in response to negative publicity about the event is the mediator of the effects found on company evaluations. In step one, the Corporate reputation $\times$ Corporate sponsorship interaction predicted company evaluations ($\beta = 0.44, p < 0.05$). In step two, sponsor trust also predicted company evaluations ($\beta = 0.80, p < 0.001$), and in step three, the effect of the two-way interaction on company evaluations was no longer significant when sponsor trust was entered into the analysis ($\beta = 0.23, p > 0.14$). A Sobel's test showed that sponsor trust carried the influence of the two-way interaction on company evaluations, providing support for $H5$ ($z = 2.25, p < 0.05$). However, alternatively regressing company evaluations on both the interaction and respondents' affective responses did not result in comparable effects. The interaction still had a significant effect on company evaluations when affective responses were controlled ($\beta = 0.35, p < 0.05$), though the effect decreased somewhat. These results again confirmed the hypothesis that sponsor trust in response to sponsorship withdrawal determined whether this strategic decision had positive or negative consequences for the sponsor.

GENERAL DISCUSSION

Companies nowadays are confronted with increased advertising and media clutter that is paralleled by escalated advertising costs. This trend makes it difficult for firms to create brand images that set themselves

apart from those of competitors if traditional advertising campaigns are the only marketing communication vehicle used (e.g., Meenaghan, 1998; Urde, 1994). Moreover, the tremendous investment for unique advertising space is nicely illustrated by the average cost of \$2.7 million for a 30-second spot during Super Bowl XLII. Although fees for sponsorship rights have increased over the years, as well, the popularity of commercial sponsorship remains undiminished (e.g., Chadwick & Thwaites, 2004). The view that commercial sponsorship is often worth the high cost is in line with what was found in Experiment 1. The association with a highly prestigious commercial event (here the sponsorship of the Olympics), which was made salient via a sponsorship-linked marketing campaign, had beneficial effects for the evaluation of a fictitious company. As is shown in Experiment 1, association with the Olympics led to better company evaluations than non-association between event and company—precisely when the company simply advertised its product (advertising control condition). Of significance is that the positive image transfer effect was quite independent of the company's reputation with respect to its willingness to meet societal obligations. Though the effect was slightly more pronounced for a company portrayed as having a good rather than a bad character, in both conditions a positive sponsorship effect was observed on firm evaluations. However, as would have been expected, the strong manipulation of the company's corporate reputation made the good firm itself overall superior to the bad company. Thus, although some have argued that the company's reputation prior to a sponsorship determines its outcome (Grohs, Wagner, & Vsetecka, 2004; Javalgi, Traylor, Gross, & Lampmann, 1994; Speed & Thompson, 2000), the reported findings correspond to the perspective that since sponsorship of the Olympics—as with many other sports or cultural sponsorships—is viewed as a commercial investment (e.g., Cornwell et al., 2001; Gardner & Shuman, 1987, 1988; Meenaghan, 1991), the engagement is likely to result in positive outcomes unless the sponsor is perceived as overly abusive or exploitative of the event (Walliser, 2003). The consequence is that companies would be well advised to sponsor highly valued and commercialized events due to their positive effects on corporate objectives (e.g., company evaluations, product attitudes, and purchase intentions). There are, of course, moderating variables that determine the positivity of the outcome, such as the number of sponsors, the period of commitment, or the media coverage of the event, variables that were not investigated here (e.g., Gwinner & Eaton, 1999; Lacey, Sneath, Finney, & Close, 2007; Mason & Cochetel, 2006; Ruth & Simonin, 2006; Smith, 2004).

However, both reported experiments found that people are indeed sensitive to potential sponsor abuse in the course of the sponsorship of the Olympics, resulting in different responses to sponsorship withdrawal depending on the sponsor's reputation. This implies that sponsorship withdrawal before the contractual ex-

piration date might draw more attention than sponsorship entry into commercial events, prompting consumers to question the reasons behind this decision. This in line with research showing that attributional thoughts in consumers are likely to be evoked when information is negative, or incongruent with expectations (e.g., Skowronski & Carlston, 1989; Weiner, 1985).

Sponsorship Withdrawal and Attributed Trust

The hypotheses in the two studies build on attribution theory, in that it was argued that respondents would consider different reasons why companies with a bad vs. a good reputation decide to withdraw from a problematic sponsorship. Both experiments provide converging support for the hypothesis that strategic exiting from the Olympics in response to negative publicity about the event's proper conduct (i.e., possible doping scandals) advances company evaluations for a sponsor with a good reputation, but decreases them for a sponsor with a bad reputation. This is apparent in the fact that while the bad company was penalized for withdrawing from the event compared to adhering to it, the reverse was true for the good company. A further indicator of the negativity of the decision to withdraw from the event for the bad company was found in Experiment 1. Not only was the bad company better off adhering to the sponsorship, company evaluations in the withdrawal condition actually fell below the evaluations in the advertising control condition, where participants never learned about the sponsorship engagement. In contrast, the good company was upgraded for the same decision either way. Taking the trust ratings into account, both experiments reliably showed that the good company was trusted even more after withdrawing from the controversial event, whereas the bad company was trusted less when coming to the same decision. Both experiments further showed that the trust ratings mediated the effects found on company evaluations, indicating that recipients were sensitive to potential sponsor abuse. Based on these findings, it seems apparent that recipients took different reasons into account for why a sponsor decided to terminate his association with the Olympics. Elaborating on the firm's reputation likely led recipients to attribute a sincere interest in the events proper conduct when a company of good reputation and credibility decided to withdraw. In contrast, recipients may have been more dubious of the exit of a sponsor of bad reputation, because they may have come to believe that the decision corresponded more strongly to the sponsor's attempt to simply avert damage to his image. Although the results of Experiment 1 did not allow for a closer understanding of the reasons behind the differential attributions of trust depending on the sponsor's reputation, those of Experiment 2 were more indicative in this regard. When good intentions for the withdrawal (i.e., *trust in withdrawal condition*) were manipulated, a positive effect was observed for

the bad company in terms of company evaluations and trust ratings (relative to sticking with the sponsorship). Company evaluations and trust ratings concerning the good company remained nearly unchanged on a high level. These results suggest that the withdrawal action by the good company was trusted by recipients without a need for further information rendering the decision honest. However, withdrawing from the controversial event led to negative consequences for the bad company unless it undertook communication efforts to make respondents believe in the honesty behind the decision (i.e., when the sponsor took responsibility for the event). As a result, the sponsor's reputation is also an indicator for its overall credibility (Goldberg & Hartwick, 1990; Lafferty & Goldsmith, 1999), making it easier for credible companies to come to unusual decisions such as sponsorship withdrawal without having to fear overly distrustful consumers.

In sum, it seems reasonable to suggest that sponsorship withdrawal can have positive consequences for the sponsor's image if this strategic decision is trusted. When the event's proper conduct as well as its overall prestige is at stake due to unethical sports behavior among professional athletes, people might prefer to see a reaction from key constituents of the event, such as official sponsors. The consequence is that if sponsorship withdrawal is attributed to a sincere interest in the event's proper conduct (e.g., opposing unethical sports behavior), then this decision has the potential to increase a company's image. In contrast, sponsorship withdrawal might detract from the sponsor's image if this decision is attributed to self-interested motives and therefore perceived as overly abusive of the sponsored entity.

Limitations and Future Research

Like so many laboratory experiments, the present research is limited to student convenience samples, thus raising concerns about the experiments' generalizability. Though generalizing the results of experimental studies to the entire population is often thought of as questionable, it is believed that a homogeneous sample warrants theory testing (Calder, Phillips, Tybout, 1981). However, given the bounded generalizability, future research should be called for using more heterogeneous samples to test the validity of the present findings. The present research is also limited to the extent that information was given to participants about a fictitious company, and about two self-created sponsorship-linked marketing campaigns. Though this procedure makes it possible to have control over those variables that were investigated, participants had to generate a company-schema on-line during the study. On the other hand, it was advantageous that participants' responses were unaffected by prior exposure to the company's marketing communications, prior product experiences, and word-of-mouth communications with other people. However, it would be worth examining whether

the effects found with respect to a company's reputation and its corporate actions in the course of a sponsorship hold for actual companies with which respondents are familiar.

In addition, in the current research negative publicity about the Olympics was given in the run-up of the event in order to investigate cognitive reactions to a sponsor's withdrawal. Although this procedure raised concerns in recipients about whether the Olympics can be thought of as "clean" games, the evaluation of the event as a whole was actually unaffected by the manipulations. This means that the Olympics were perceived as a highly prestigious event irrespective of the experimental conditions. As a consequence, future research might wish to investigate to what extent negative transfer effects might occur when companies are associated with negatively valenced events. This would add to our knowledge as to whether negative transfer effects, as found, for example, in brand extension research (e.g., Romeo, 1991), must be considered in sponsorship research, as well. Events with an actual negative valence might have a harmful "rub-off" effect for associated sponsors. The consequence might be that the image-conserving effect of adhering to a sponsorship for a bad company would actually turn into a detrimental effect. Because the present research does not allow for further elaboration on this issue, future research is called for to explore sponsorship exit decisions in cases of sponsored events with varying degree of prestige and social valence. This may also help disentangle processes of image transfer and attributions in determining sponsorship effects (e.g. Rifon et al., 2004; Simmons & Becker-Olsen, 2006). The latter research may lead to a better understanding of when and how sponsorship exit vs. continuation will positively impact the sponsor's image. In conclusion, the present research is limited to strategic exiting and adherence effects regarding a single case (i.e. the Olympics) in which reactions to associated sponsors are generally highly positive.

A final, but equally important, aspect of the current research should be discussed, as well. Sponsorship research has well documented that consumer involvement and interest in, as well as expertise with, sports events moderate responses to sponsorship activities (e.g. Close, Finney, Lacey, & Sneath, 2006; Cornwell et al., 2005; Cornwell & Coote, 2005; Lings & Owen, 2007). Those variables were not investigated here, even though they might extremize responses to corporate exiting decisions. Given the experimental procedure applied in the present research, it is less likely that such individual differences had an influence on the reported findings. However, in a next step of research to investigate consumer responses to corporate exiting decisions, it would be worth examining differences in consumer responses based on involvement, interest, or other key variables identified in sponsorship research. This would help to better integrate the current findings into the overall sponsorship framework.

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Correspondence regarding this article should be sent to: Matthias Messner, Department of Social Psychology, University of Ulm, Albert-Einstein-Allee 47, D-89081 Ulm, Germany (matthias.messner@uni-ulm.de).